**PAID VU LMS HANDLING by Mam Mehwish 03184148783**

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1. A private property system and a voluntary exchange system are the components of:

- A) Political right system
- B) Command system
- C) Communitarian system
- D) Free market system

Correct Answer: D) Free market system

2. Which principles explain the movement towards the equilibrium point?

- A) Principle of diminishing marginal utility
- B) Principle of diminishing marginal utility
- C) Both of the above
- D) Principle of increasing marginal costs

Correct Answer: C) Both of the above

3. In a command economy, all decisions are taken by the:

- A) People
- B) Workers
- C) Voters
- D) Government

Correct Answer: D) Government

4. Who presented the theory of absolute advantage?

- A) Adam Smith
- B) Friedrich A. Hike

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- C) Murray Rothbard

- D) Eric Mack

Correct Answer: A) Adam Smith

5. Who is called the father of modern economics?

- A) Adam Smith

- B) John Locke

- C) John Maynard Keynes

- D) Karl Marx

Correct Answer: A) Adam Smith

6. Naturalistic Fallacy refers to:

- A) Everything that is good must be natural

- B) Everything that is good must be natural

- C) If something happens naturally is always good

- D) None of the given options

Correct Answer: D) None of the given options

7. In the recent times, Korea has developed the vehicle manufacturing capability that is best in the world. What type of country-specific advantage is it as classified by Adam Smith?

- A) Absolute advantage

- B) Natural advantage

- C) None of the given options

Correct Answer: A) Absolute advantage

8. Locke's views on property rights have become the source of which amendment in American law?

- A) Fourth Amendment

- B) Sixth Amendment

- C) Fifth Amendment

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- D) Second Amendment

Correct Answer: C) Fifth Amendment

9. The price that just covers the costs of producing the commodity, including the going rate of profit obtainable in other markets is known as:

- A) None of the given options
- B) Selling Price
- C) Buying Price
- D) Natural Price

Correct Answer: D) Natural Price

10. Which one of the following is a component of free market systems?

- A) None of the given options
- B) Private property system
- C) Command system
- D) Involuntary exchange system

Correct Answer: B) Private property system

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